TSMC (2330 TT)

Buy: No surprises expected as focus on US expansion

Equities
Semiconductors & Equipment

Taiwan

- Better 3Q26e revenue but margins should be in-line
- Recent press speculation of potential Texas investment should have no impact on FY27e CAPEX plans
- Maintain Buy; raise TP to TWD3,800 (from TWD3,400)

3Q26 GM likely to be in-line with guidance despite higher revenue: TSMC's combined sales for July-September of TWD1.5trn or USD46.7bn beat company guidance of USD44.6-45.8bn as well as HSBC/consensus expectations by 4%/3%. We attribute the higher revenue to strong demand of AI for TSMC's advanced nodes. We expect 3Q26e GM to reach 66.9% (down from 67.7% in 2Q26), in-line with company guidance of 65%-67%, as we expect margin dilution from 2nm as well as overseas expansion to continue. TSMC will host its 3Q26e earnings call on 15 October.

Strong 4Q26 momentum expected to continue in FY27e: We expect 4Q26 sales to see 12% sequential revenue growth (vs consensus +10%) but expect margin dilution to continue in 4Q26e to 66%, in-line with consensus owing to the ongoing 2nm node ramp up. Going into FY27e, with TSMC's ability to adjust pricing at the beginning of the year, increasing contribution of 2nm as well as on going strong demand for 3/5nm, we expect revenue to grow by 41% y-o-y (vs consensus +38%), with FY27e EPS reaching TWD152.77, 5% higher than consensus.

Increasing focus on Texas investment but see limited impact to FY27e CAPEX: Tesla and SpaceX have announced plans to build and operate a Terafab (an AI chip manufacturing complex) in Texas. There has been some press speculation (Reuters, 7 October) suggesting that TSMC is in talks to take part in the Terafab project, however, we do not see any meaningful TSMC involvement as running its own fabs is essential to TSMC's technology leadership and pricing power. Hence, we also see limited impact this potential event should have on TSMC's FY26e/FY27e budget planning and maintain our CAPEX assumptions at USD64bn/USD85bn for FY26e/FY27e. However, given potential concerns over competition in packaging from Intel's EMIB-T, we believe TSMC could look to expand on its advance packaging technology with recent 5-year USD2bn partnership with GlobalFoundries over interposer supply for its CoWoS expansion. TSMC has said that it is in discussions regarding expansion in the US and potentially beyond Arizona, so we expect the US to be one of the key focuses during the 15 October call.

Retain Buy rating with revised TP of TWD3,800 (from TWD3,400): We raise our 2026/27 EPS estimates by 1%/11% to reflect better ASPs, capacity expansion and the strong utilisation rate. Our 2026e/27e EPS are 1%/5% higher than consensus. We raise our TP to TWD3,800 from TWD3,400 based on an unchanged PE multiple of 25x applied to 2027 EPS of TWD152.77. With c49% implied upside, we retain our Buy rating and expect TSMC to be the dominant supplier in advanced node manufacturing for major AI customers.

MAINTAIN BUY

TARGET PRICE (TWD)	PREVIOUS TARGET (TWD)
3800.00	**3400.00**
SHARE PRICE (TWD)	UPSIDE/DOWNSIDE
2550.00	**+49.0%**

(as of 08 Oct 2026)

MARKET DATA

Market cap (TWDm)	66,127,543	Free float	86%
Market cap (USDm)	2,069,461	BBG	2330 TT
3m ADTV (USDm)	2,092	RIC	2330.TW

FINANCIALS AND RATIOS (TWD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	66.24	109.00	152.77	194.53
HSBC EPS (prev)	66.24	107.68	137.29	171.64
Change (%)	0.0	1.2	11.3	13.3
Consensus EPS	64.61	107.62	146.09	182.80
PE (x)	38.5	23.4	16.7	13.1
Dividend yield (%)	0.7	0.8	0.8	1.4
EV/EBITDA (x)	24.3	15.4	10.5	7.6
ROE (%)	35.4	43.0	41.9	37.6

52-WEEK PRICE (TWD)



Source: Refinitiv IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

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Financials & valuation: TSMC

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (TWDm)				
Revenue	3,809,054	5,575,757	7,873,568	9,913,577
EBITDA	2,624,188	4,104,001	5,838,556	7,703,905
Depreciation & amortisation	-688,096	-856,521	-1,223,184	-1,804,276
Operating profit/EBIT	1,936,092	3,247,480	4,615,372	5,899,629
Net interest	48,212	64,758	92,930	138,988
PBT	2,041,509	3,425,286	4,715,630	6,004,834
HSBC PBT	2,041,509	3,425,286	4,715,630	6,004,834
Taxation	-326,266	-599,105	-754,501	-960,773
Net profit	1,717,729	2,826,517	3,961,465	5,044,395
HSBC net profit	1,717,729	2,826,517	3,961,465	5,044,395
Cash flow summary (TWDm)				
Cash flow from operations	2,274,976	3,362,060	4,901,677	6,603,870
Capex	-1,272,411	-2,037,197	-2,705,036	-3,469,752
Cash flow from investment	-1,144,394	-2,037,197	-2,705,036	-3,469,752
Dividends	-466,779	-518,652	-518,652	-518,652
Change in net debt	-639,883	-806,212	-1,677,989	-2,615,466
FCF equity	1,002,565	1,324,863	2,196,641	3,134,118
Balance sheet summary (TWDm)				
Intangible fixed assets	12,031	11,454	11,075	10,826
Tangible fixed assets	3,691,841	4,873,094	6,355,324	8,021,049
Current assets	3,823,131	5,194,903	7,393,703	10,487,323
Cash & others	3,068,594	4,079,694	5,962,572	8,782,927
Total assets	7,933,024	10,485,472	14,166,123	18,925,219
Operating liabilities	1,479,075	1,518,768	1,551,718	1,580,183
Gross debt	993,154	1,198,043	1,402,932	1,607,821
Net debt	-2,075,440	-2,881,652	-4,559,641	-7,175,106
Shareholders' funds	5,419,596	7,727,461	11,170,274	15,696,017
Invested capital	2,979,334	4,480,988	6,245,811	8,156,089

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	31.6	46.4	41.2	25.9
EBITDA	32.2	56.4	42.3	31.9
Operating profit	46.4	67.7	42.1	27.8
PBT	45.2	67.8	37.7	27.3
HSBC EPS	46.4	64.5	40.2	27.3
Ratios (%)				
Revenue/IC (x)	1.4	1.5	1.5	1.4
ROIC	59.0	71.8	72.3	68.8
ROE	35.4	43.0	41.9	37.6
ROA	23.5	30.7	32.1	30.5
EBITDA margin	68.9	73.6	74.2	77.7
Operating profit margin	50.8	58.2	58.6	59.5
EBITDA/net interest (x)				
Net debt/equity	-38.0	-37.1	-40.7	-45.6
Net debt/EBITDA (x)	-0.8	-0.7	-0.8	-0.9
CF from operations/net debt				
Per share data (TWD)				
EPS Rep (diluted)	66.24	109.00	152.77	194.53
HSBC EPS (diluted)	66.24	109.00	152.77	194.53
DPS	18.00	20.00	20.00	35.00
Book value	210.59	299.59	432.36	606.89

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	16.8	11.3	7.8	5.9
EV/EBITDA	24.3	15.4	10.5	7.6
EV/IC	21.4	14.1	9.8	7.2
PE*	38.5	23.4	16.7	13.1
PB	12.1	8.5	5.9	4.2
FCF yield (%)	1.5	2.0	3.3	4.7
Dividend yield (%)	0.7	0.8	0.8	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	141.8
Energy intensity*	304.8
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	10.4
Employee turnover (%)	3.5
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	10
Average board tenure (years)	13.0
Female board members (%)	20
Board members independence (%)	70

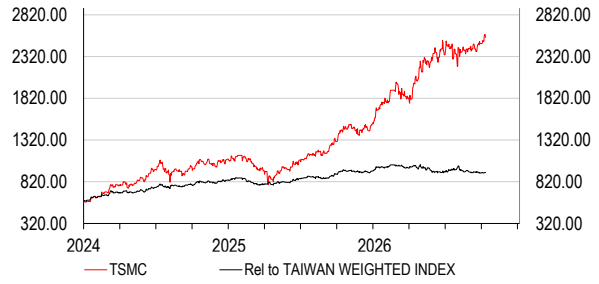
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	2550.00	Free float	86%
Target price (TWD)	3800.00	Sector	Semiconductors
RIC (Equity)	2330.TW	Country/Region	Taiwan
Bloomberg (Equity)	2330 TT	Analyst	Frank Lee
Market cap (USDm)	2,069,461	Contact	+852 2996 6916

Price relative



Source: HSBC

Note: Priced at close of 08 Oct 2026

Exhibit 1: TSMC 3Q26 preview

	3Q26e				4Q26e		
(TWDbn)	Guidance	HSBCe	Consensus	HSBCe vs cons	HSBCe	Consensus	HSBCe vs cons
Sales	1427-1466	1,494	1,455	2.7%	1,677	1,601	4.8%
- q-o-q		18%	15%		12%	10%	
- y-o-y		51%	47%		60%	53%	
Gross margin	65-67%	66.9%	66.5%	42bps	66.0%	66.4%	-39bps
Operating margin	56-58%	57.9%	58.3%	-39bps	57.0%	58.6%	-159bps
EPS (TWD)		29.00	28.38	2.2%	30.68	31.58	-2.9%

Source: Company data, HSBC estimates, Visible Alpha consensus

Exhibit 2: HSBC estimate changes and comparison to consensus

	HSBC new			HSBC old			Change			Consensus			HSBCe vs Cons		
(TWDm)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	5,575,757	7,873,568	9,913,577	5,468,248	7,267,446	9,124,198	2%	8%	9%	5,458,804	7,523,271	9,439,781	2%	5%	5%
- y-o-y chg	46.4%	41.2%	25.9%	43.6%	32.9%	25.5%				43.3%	37.8%	25.5%			
Gross profit	3,718,931	5,276,752	6,732,370	3,645,693	4,862,379	6,140,562	2%	9%	10%	3,636,424	5,039,683	6,284,720	2%	5%	7%
- GM	66.7%	67.0%	67.9%	66.7%	66.9%	67.3%				66.6%	67.0%	66.6%			
Operating profit	3,247,480	4,615,372	5,899,629	3,196,891	4,179,239	5,200,769	2%	10%	13%	3,200,195	4,448,461	5,561,043	1%	4%	6%
- OPM	58.2%	58.6%	59.5%	58.5%	57.5%	57.0%				58.6%	59.1%	58.9%			
Net income	2,826,517	3,961,465	5,044,395	2,792,201	3,560,081	4,450,676	1%	11%	13%	2,794,546	3,805,297	4,778,888	1%	4%	6%
EPS (TWD)	109.00	152.77	194.53	107.68	137.29	171.64	1%	11%	13%	107.62	146.09	182.80	1%	5%	6%
- y-o-y chg	65%	40%	27%	63%	28%	25%				63%	36%	25%			

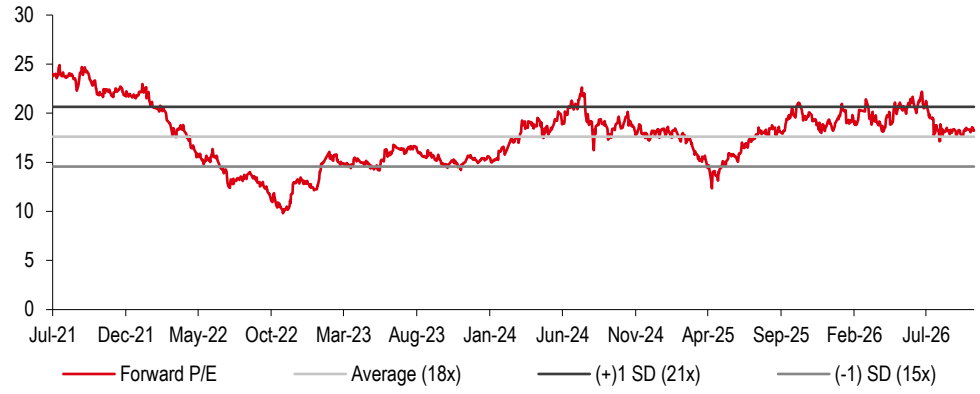
Source: HSBC Estimates, Visible Alpha consensus estimates

Exhibit 3: TSMC quarterly and annual P&L

(TWDm)	2025	1Q26a	2Q26a	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Sales	3,809,054	1,134,103	1,270,381	1,494,243	1,677,030	5,575,757	1,699,468	1,884,089	2,118,694	2,171,317	7,873,568	9,913,577
- q-o-q		8%	12%	18%	12%		1%	11%	12%	2%		
- y-o-y	32%	35%	36%	51%	60%	46%	50%	48%	42%	29%	41%	26%
Gross profit	2,281,294	751,295	860,311	1,000,000	1,107,326	3,718,931	1,129,778	1,269,079	1,427,638	1,450,256	5,276,752	6,732,370
Gross margin	59.9%	66.2%	67.7%	66.9%	66.0%	66.7%	66.5%	67.4%	67.4%	66.8%	67.0%	67.9%
- q-o-q		15%	15%	16%	11%		2%	12%	12%	2%		
- y-o-y	40%	52%	57%	70%	70%	63%	50%	48%	43%	31%	42%	28%
Operating profit	1,936,092	658,966	766,603	865,518	956,393	3,247,480	987,022	1,110,816	1,249,668	1,267,866	4,615,372	5,899,629
OP margin	50.8%	58.1%	60.3%	57.9%	57.0%	58.2%	58.1%	59.0%	59.0%	58.4%	58.6%	59.5%
- q-o-q		17%	16%	13%	10%		3%	13%	13%	1%		
- y-o-y	46%	62%	65%	73%	69%	68%	50%	45%	44%	33%	42%	28%
Non-op income	105,418	28,834	95,827	39,846	13,300	177,807	21,223	23,786	26,307	28,942	100,258	105,205
Pre-tax income	2,041,509	687,800	862,430	905,364	969,693	3,425,286	1,008,245	1,134,602	1,275,975	1,296,808	4,715,630	6,004,834
Tax expense	-326,266	-114,999	-155,649	-153,912	-174,545	-599,105	-161,319	-181,536	-204,156	-207,489	-754,501	-960,773
Net income	1,717,729	572,480	706,562	751,999	795,476	2,826,517	846,605	952,847	1,072,366	1,089,647	3,961,465	5,044,395
- q-o-q		13%	23%	6%	6%		6%	13%	13%	2%		
- y-o-y	46%	58%	77%	66%	57%	65%	48%	35%	43%	37%	40%	27%
Net margin	45%	50%	56%	50%	47%	51%	50%	51%	51%	50%	50%	51%
EPS (TWD)	66.24	22.08	27.25	29.00	30.68	109.00	32.65	36.75	41.35	42.02	152.77	194.53
- q-o-q		13%	23%	6%	6%		6%	13%	13%	2%		
- y-o-y	46%	58%	77%	66%	57%	65%	48%	35%	43%	37%	40%	27%

Source: Company data, HSBC estimates

Exhibit 4: TSMC forward P/E



Source: Datastream

Valuation and risks

		Valuation	Risks to our view
TSMC 2330 TT	Current price: **TWD2,550.00**	Our revised rounded target price of TWD3,800 is derived by applying an unchanged PE multiple of 25x to FY27e EPS of TWD152.77 (from TWD137.29). We believe our target PE, which is higher than +2 SD above the historical average is justified as TSMC's pricing power has never been as strong as now due to strong AI demand and higher incentives for TSMC to adjust pricing to reflect higher costs. With c49% upside from current levels, we retain our Buy rating.	**Downside risks:** 1) weaker-than-expected 5nm orders; 2) intensified US-China trade tensions and tighter restrictions on shipments to companies with businesses related to mainland China region; 3) slower ramp-up of advanced node production and yield rates; and 4) higher depreciation costs from investing in advanced nodes.
Buy	Target price: **TWD3,800.00**		
	Upside: **+49.0%**	Our target price for the ADR (TSM US, USD457.99 as of 8 Oct close) is USD766.44 (from USD632.19), which is based on a 5:1 share conversion, HSBC TWD/USD forecast of 32.0, and one-year average share price premium of 19%. We believe the trading premium on the ADR is justified given TSMC's active capacity expansion plan (additional USD100bn) in Arizona, US.	

Priced at 8 Oct 2026
Source: HSBC estimates

Exhibit 5: Companies mentioned in the report

Company	Ticker	Currency	CMP	TP	Rating
Intel	INTC US	USD	107.08	200.00	Buy
GlobalFoundries	GFS US	USD	49.36	55.00	Hold
Tesla	TSLA US	USD	375.00	157.00	Reduce
SpaceX	SPCX US	USD	160.57	150.00	Hold

Source: Bloomberg, HSBC estimates
Priced at 8 Oct 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Frank Lee, Ted Lin and Pulkit Aggarwal

Important disclosures

Equities: Stock ratings and basis for financial analysis

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

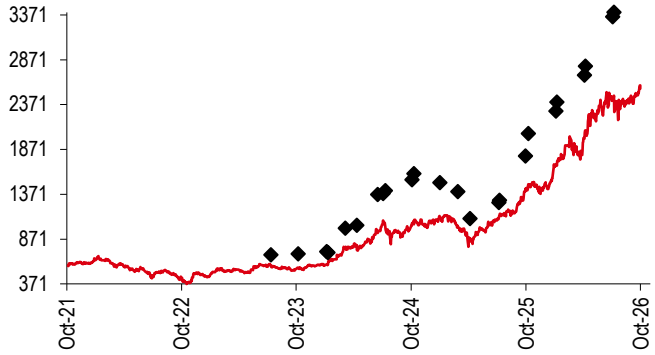
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

TSMC (2330.TW) share price performance TWD Vs HSBC rating history



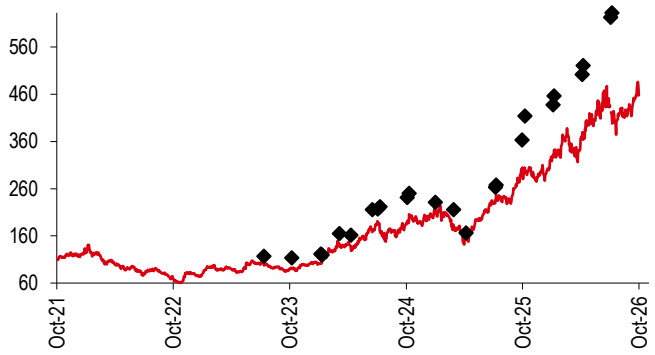
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	15 Jan 2018	Steven Pelayo, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	697	20 Jul 2023	Frank Lee
Price 2	705	15 Oct 2023	Frank Lee
Price 3	733	14 Jan 2024	Frank Lee
Price 4	720	18 Jan 2024	Frank Lee
Price 5	993	13 Mar 2024	Frank Lee
Price 6	1025	18 Apr 2024	Frank Lee
Price 7	1370	24 Jun 2024	Frank Lee
Price 8	1378	11 Jul 2024	Frank Lee
Price 9	1410	18 Jul 2024	Frank Lee
Price 10	1535	11 Oct 2024	Frank Lee
Price 11	1600	17 Oct 2024	Frank Lee
Price 12	1500	08 Jan 2025	Frank Lee
Price 13	1400	06 Mar 2025	Frank Lee
Price 14	1100	14 Apr 2025	Frank Lee
Price 15	1280	15 Jul 2025	Frank Lee
Price 16	1305	17 Jul 2025	Frank Lee
Price 17	1800	07 Oct 2025	Frank Lee
Price 18	2050	16 Oct 2025	Frank Lee
Price 19	2300	12 Jan 2026	Frank Lee
Price 20	2400	15 Jan 2026	Frank Lee
Price 21	2700	13 Apr 2026	Frank Lee
Price 22	2800	16 Apr 2026	Frank Lee
Price 23	3350	12 Jul 2026	Frank Lee
Price 24	3400	16 Jul 2026	Frank Lee

Source: HSBC

TSMC (TSM.N) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	15 Jan 2018	Steven Pelayo, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	116.17	20 Jul 2023	Frank Lee
Price 2	112.98	15 Oct 2023	Frank Lee
Price 3	121.36	14 Jan 2024	Frank Lee
Price 4	119.21	18 Jan 2024	Frank Lee
Price 5	164.40	13 Mar 2024	Frank Lee
Price 6	161.16	18 Apr 2024	Frank Lee
Price 7	215.41	24 Jun 2024	Frank Lee
Price 8	216.67	11 Jul 2024	Frank Lee
Price 9	221.70	18 Jul 2024	Frank Lee
Price 10	241.35	11 Oct 2024	Frank Lee
Price 11	250.00	17 Oct 2024	Frank Lee
Price 12	230.77	08 Jan 2025	Frank Lee
Price 13	215.38	06 Mar 2025	Frank Lee
Price 14	165.66	14 Apr 2025	Frank Lee
Price 15	262.62	15 Jul 2025	Frank Lee
Price 16	267.75	17 Jul 2025	Frank Lee
Price 17	363.05	07 Oct 2025	Frank Lee
Price 18	413.47	16 Oct 2025	Frank Lee
Price 19	437.22	12 Jan 2026	Frank Lee
Price 20	456.23	15 Jan 2026	Frank Lee
Price 21	502.03	13 Apr 2026	Frank Lee
Price 22	520.63	16 Apr 2026	Frank Lee
Price 23	622.89	12 Jul 2026	Frank Lee
Price 24	632.19	16 Jul 2026	Frank Lee

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
TSMC	2330.TW	2550.00	08 Oct 2026	–

Source: HSBC

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